

6,000 MW has been harnessed and projects with an aggregate capacity of about 1,300 MW are under various stages of implementation.

State politicians are demanding an extension of the special industrial package granted by the then prime minister Atal Bihari Vajpayee in 2003 to its original term of 10 years to avoid a disaster. Under the package, the excise duty exemption was set to expire by March 2010. The exemption had attracted multinational investors. "We are geographically disadvantaged; no sea ports, no rail network. The Government can't discriminate and continue to give a package to Jammu and Kashmir for terrorism and violence," says Dhumal. Union Steel Minister and former chief minister Virbhadra Singh says that there is insecurity in the investors' minds because of the uncertainty of that package. Despite that, 97 projects worth Rs 7,938 crore have been approved in the past 19 months. For this hill state, the way is forward. **by Arvind Chhabra**



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GOA

SUNSHINE STATE

- **Best in Health in small states**
- **Tops in Investment**
- **Best in Macro Economy**

For most of us, Goa stands for fun and frolic, but there is a lot more to India's smallest state than its tropical beaches and casinos. While a coastline of almost 30 km helps the state attract over 2.5 million tourists a year, the state also has thriving industrial and mining activities. Given the large number of tourist inflows, almost 30 per cent of the state's population is employed by the tourism industry. Apart from its golden beaches, Goa has many feathers in its cap. This tiny state clocks a GDP growth of over 10 per cent, thanks to its thriving student traffic, agricultural and industrial activity. With Goa University as the centrepiece of all educational activity, the state boasts of several professional colleges, including engineering and polytechnics. It's this focus on education that has taken the literacy rate to 82 per cent.

Be it water, natural resources or power, this ancient land of Parshuram has everything aplenty. With per capita income of over one lakh, the state has the highest per capita income

ratios in the country. Like Kerala, Goa too has seen large-scale emigration, which is why it's one of the largest recipients of remittances. Goa received foreign remittances to the tune of Rs 800 crore in 2008, accounting for 6.3 per cent of the state GDP. Consequently, the per capita bank deposit ratio is also very high at Rs 30,710.

The state has been able to utilise its tourism industry and a rich natural resource base to shift its economy from being agro-based to one with substantial contribution from the services and industrial sector. Availability of cheaper land, good law and order situation, labour and clean environment have made Goa a far more attractive destination compared to expensive and congested places like Mumbai. The 11th Planning Commission has rated Goa as one of the best states for its infrastructure.

However, the state's industrial prospects changed for the better in 1992, with the then finance minister Manmohan Singh granting a tax holiday to industry u/s 80 IB of the Income Tax Act 1961 in the 1993 budget. As per the Act, new industry in Goa would be totally exempt from income tax for the first five years. This tax holiday coupled with the sales tax exemption became the main stimulator for investment into Goa.

Today, the state is among the largest

**GOA HAS UTILISED
ITS TOURISM
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